

12 Aug 2026 06:23:10 ET | 16 pages

Lumentum Holdings Inc (LITE.O)

NPO Opportunity Is Layering on Top of CPO/OCS

CITI'S TAKE

LITE delivered strong results as Jun-Q sales/EPS were 2% and 9% above estimates while Sep-Q Sales and EPS guide came in 9%/16% ahead of Street estimates. We are notably reassured by management's comments around 1) OCS being on track to deliver \$400M+ in 2H26 2) CPO timeline still unchanged while NPO opportunity layers on top and 3) LITE continuing to see strong laser demand which remains 30%+ above supply. We subsequently raise our sales estimates by 6% and 13% in FY2027E/FY2028E. This, coupled with the expectations that non-GAAP gross margin will surpass the company LT target of 50.5% as soon as Sep-26, culminate in a +9% and +17% EPS revision. With these growth assumptions we see +19%/+20% sales and EPS upside in FY2027E/FY2028E vs. Street and now value LITE at \$1,200 or 35x P/E applied to our FY2028E earnings power of ~\$37 discounted back (from 40x before reflecting peer-group de-rating).

Jun-Q — LITE reported Jun-Q revs/non-GAAP (NG) EPS of \$1B/\$3.23 vs. our \$988M/\$2.97 and Street's (FactSet) \$988M/\$2.96. Non-GAAP Gross margin came 210bps above Street's 48.3% estimate as it benefited from revenue volume, favorable mix, pricing increases and yield improvements. With gross margin reaching 50.4% in Jun-Q, LITE seems well on track to surpass its 50.5% LT GM in Sep-Q.

Sep-Q Guide — The company guided to a robust Sep-Q revenue/NG EPS of \$1.25B/\$4.20 (at MP) vs. our \$1.2B/\$3.77 and Street's \$1.15B/\$3.60. The company guided non-GAAP OM to 39.5% to 40.5% vs. Citi's 37.6% and Street's 37.3%.

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons
2026A	1.10A	1.67A	2.37A	3.23A	8.68A	8.67A
2027E	4.18E	4.97E	6.21E	7.60E	23.03E	18.37E
Previous	3.77E	4.55E	5.76E	7.09E	21.18E	na
2028E	8.62E	9.06E	9.58E	10.02E	37.21E	28.37E
Previous	7.77E	8.03E	8.25E	7.85E	31.82E	na
2029E	na	na	na	na	na	44.07E

Buy

Catalyst Watch: Upside, expires 14-OCT-26

Price (11 Aug 26 16:00) US\$820.59

Target price US\$1,200.00↑
from US\$1,100.00

Expected share price return 46.2%

Expected dividend yield 0.0%

Expected total return 46.2%

Market Cap US\$72,704M

Price Performance

(RIC: LITE.O, BB: LITE US)



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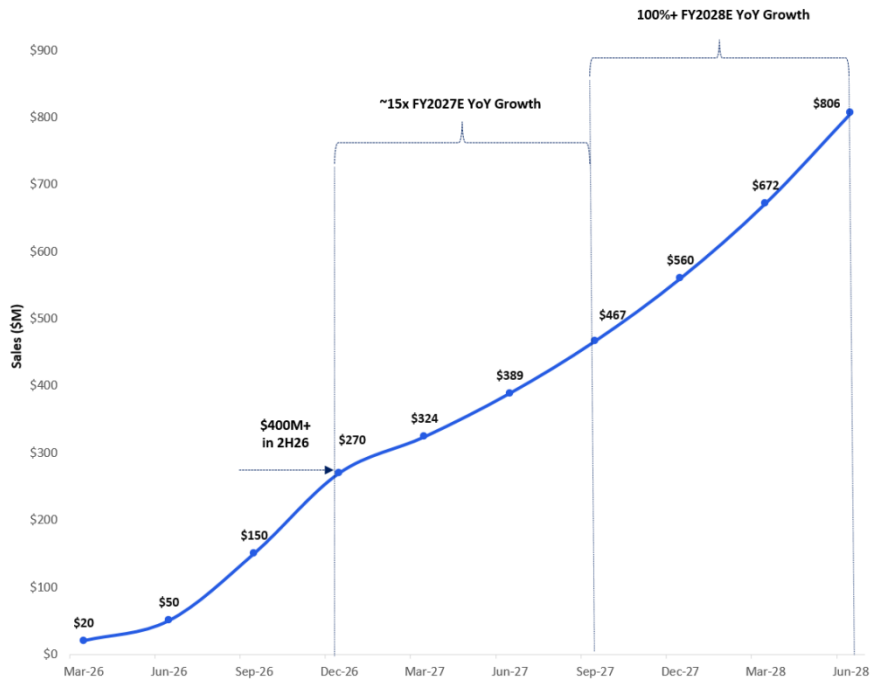
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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

LITE.O: Fiscal year end 30-Jun					Price: US\$820.59; TP: US\$1,200.00; Market Cap: US\$72,704m; Recomm: Buy				
Profit & Loss (US\$m)	2025	2026	2027E	2028E	Valuation ratios	2025	2026	2027E	2028E
Sales revenue	1,645	3,014	6,828	10,532	PE (x)	na	94.6	35.6	22.1
Cost of sales	-1,185	-1,758	-3,378	-4,942	PB (x)	50.4	19.4	14.1	8.9
Gross profit	460	1,256	3,450	5,590	EV/EBITDA (x)	na	83.4	22.4	13.2
Gross Margin (%)	28.0	41.7	50.5	53.1	FCF yield (%)	-0.2	0.7	0.9	2.9
EBITDA (Adj)	214	880	3,208	5,343	Dividend yield (%)	na	na	na	na
EBITDA Margin (Adj) (%)	13.0	29.2	47.0	50.7	Payout ratio (%)	0	0	0	0
Depreciation	-104	-147	-378	-583	ROE (%)	-0.9	34.4	39.6	42.5
Amortisation	0	0	0	0	Cashflow (US\$m)				
EBIT (Adj)	160	897	2,838	4,771	EBITDA	-88	683	2,718	4,740
EBIT Margin (Adj) (%)	9.7	29.8	41.6	45.3	Working capital	-315	-327	-974	-462
Net interest	-22	-22	-25	-25	Other	529	597	-62	-336
Associates	0	0	0	0	Operating cashflow	126	953	1,682	3,942
Non-Op/Except/Other Adj	-345	-291	-417	-534	Capex	-231	-414	-880	-1,357
Pre-tax profit	-207	584	2,395	4,212	Net acq/disposals	99	-197	0	0
Tax	198	238	-503	-885	Other	48	0	0	0
Extraord./Min.Int./Pref.div.	0	0	0	0	Investing cashflow	-84	-611	-880	-1,357
Reported net profit	-9	822	1,892	3,327	Dividends paid	0	0	0	0
Net Margin (%)	-0.5	27.3	27.7	31.6	Financing cashflow	42	2,190	0	0
Core NPAT	146	782	2,399	4,033	Net change in cash	84	2,532	802	2,585
Per share data	2025	2026	2027E	2028E	Free cashflow to s/holders	-105	539	802	2,585
Reported EPS (\$)	-0.13	9.11	18.17	30.70					
Core EPS (\$)	2.06	8.68	23.03	37.21					
DPS (\$)	0	0	0	0					
CFPS (\$)	1.77	10.57	16.14	36.36					
FCFPS (\$)	-1.47	5.98	7.70	23.85					
BVPS (\$)	16.30	42.24	58.01	92.34					
Wtd avg ord shares (m)	71	90	104	108					
Wtd avg diluted shares (m)	71	90	104	108					
Growth rates	2025	2026	2027E	2028E					
Sales revenue (%)	21.0	83.2	126.5	54.3					
EBIT (Adj) (%)	448.3	460.3	216.4	68.1					
Core NPAT (%)	138.4	434.4	206.7	68.1					
Core EPS (%)	126.6	322.1	165.5	61.5					
Balance Sheet (US\$m)	2025	2026	2027E	2028E					
Cash & cash equiv.	877	3,607	4,410	6,995					
Accounts receivables	250	550	1,218	1,546					
Inventory	470	750	1,557	1,911					
Net fixed & other tangibles	975	1,277	1,778	2,552					
Goodwill & intangibles	1,526	1,429	1,429	1,429					
Financial & other assets	120	149	149	149					
Total assets	4,219	7,762	10,540	14,581					
Accounts payable	225	465	966	1,186					
Short-term debt	11	3,239	3,239	3,239					
Long-term debt	2,563	43	43	43					
Provisions & other liab	286	380	380	380					
Total liabilities	3,084	4,127	4,628	4,848					
Shareholders' equity	1,135	3,635	5,913	9,733					
Minority interests	0	0	0	1					
Total equity	1,135	3,635	5,913	9,734					
Net debt (Adj)	1,696	-326	-1,128	-3,713					
Net debt to equity (Adj) (%)	149.5	-9.0	-19.1	-38.1					

For definitions of the items in this table, please click [here](#).

Figure 1. Citi OCS Quarterly Sales Estimates



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Source: Company Reports, Citi Research

Figure 2. Segment Sales Revisions

		FY2027E	FY2028E
Components (\$M)	New	\$3,759	\$5,202
	Old	\$3,480	\$4,681
	Revisions	8%	11%
Systems (\$M)	New	\$3,069	\$5,330
	Old	\$2,955	\$4,614
	Revisions	4%	16%
Total (\$M)	New	\$6,828	\$10,532
	Old	\$6,435	\$9,295
	Revisions	6%	13%

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Source: Citi Research

Figure 3. FY P&L Changes

Key Financial Data -- Income Statement	FY25 Jun-25	Old FY26E Jun-26	New FY26E Jun-26	Old FY27E Jun-27	New FY27E Jun-27	Old FY28E Jun-28	New FY28E Jun-28
(\$M), except per share							
Revenue (\$M)	1,645	2,995	3,014	6,435	6,828	9,295	10,532
YY	21.0%	82.1%	83.2%	114.8%	126.5%	44.4%	54.3%
		1.0%	0.6%				
Gross Margin - GAAP	28.0%	41.1%	41.7%	49.1%	50.5%	51.8%	53.1%
Gross Margin (ex-1, ex-amort, inc-SBC)	34.7%	45.5%	46.0%	51.1%	52.4%	53.2%	54.3%
RD % sales	15.6%	9.9%	10.1%	6.4%	6.4%	5.0%	5.0%
SG&A % sales	9.4%	6.1%	6.1%	5.0%	4.5%	4.0%	4.0%
OpEx non GAAP % Sales	25.0%	16.0%	16.2%	11.4%	10.9%	9.0%	9.0%
R&D non GAAP	256	296	305	412	435	465	527
SG&A non GAAP	155	184	185	322	307	372	421
OpEx (GAAP)	675	725	731	1,114	1,120	1,268	1,443
OpEx (non GAAP)	411	480	490	734	742	837	948
Operating Income non GAAP	160.1	882.6	897.0	2,554.1	2,837.8	4,104.2	4,771.3
Operating Margin non-GAAP	9.7%	29.5%	29.8%	39.7%	41.6%	44.2%	45.3%
Interest Expense	(22.2)	(24.5)	(21.8)	(25.2)	(25.2)	(25.2)	(25.2)
Other Income	30.2	63.2	80.8	20.0	90.4	20.0	90.4
Pretax Income non GAAP	175.3	902.5	936.9	2562.1	2925.8	4112.2	4859.3
Tax Rate non GAAP	16.5%	15.9%	16.5%	18.0%	18.0%	17.0%	17.0%
Share Count	71.2	90.4	90.2	99.2	104.2	107.3	108.4
EPS (ex-1, inc-SBC, ex-amort)	\$2.06	\$8.40	\$8.68	\$21.18	\$23.03	\$31.82	\$37.21
Consensus Sales					\$5,735		\$8,802
Consensus EPS non GAAP					\$17.97		\$32.14

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Source: Citi Research, FactSet, Company Reports

Key Takeaways from Management Callback:

NPO vs. CPO Opportunity Sizing: On NPO versus CPO sizing, management characterized both as opportunities, rather than offering a definitive call on which will be larger but noted that intensity from non-NVIDIA NPO deployers is running higher than what the company sees from NVIDIA today. Management explained that with NVIDIA, only a small portion of the CPO/scale-up opportunity is expected to be external light source (ELS)-based, whereas for other customers a much larger share (in many cases the entirety) of the opportunity is expected to be ELS. Management framed this as a revenue opportunity multiplied by optical intensity, which makes the emerging NPO opportunities look attractive in aggregate even though the near-term scale-up shipment cadence to NVIDIA (end of calendar 2027 into early 2028) remains unchanged, with the newer NPO opportunities layering in over that same window.

Ramp Cadence and the NVDA Rack Debate: On the ramp cadence and the Kyber rack debate, management pushed back on the market's tendency to link Lumentum's scale-up timeline to the Kyber rack schedule. Management reiterated that as long as a multi-rack configuration exists, the rack-to-rack (north-south) opportunity is not contingent on Kyber rack timing. Management confirmed that at-the-rack CPO connections — the vertical, in-rack connections associated with scale-up — remain on track for second half of calendar 2028 shipment ahead of a 2029 deployment, while the NPO-related, north-south, in-rack opportunity is expected to ship in the fourth quarter of calendar 2027 ramping into early 2028.

CPO-to-NPO Content Comparability: On the CPO-to-NPO content question, management was explicit that NPO is incremental to CPO rather than a substitute. Management confirmed that in cases where NVIDIA or similar customers use either architecture, the same external light source configuration is retained, meaning content is largely comparable across CPO and NPO for those customers. Management noted that scale-out CPO shipments are ongoing today and scale-up demand continues to outstrip supply, with no hesitation observed from the lead customer. Separately, management flagged that certain non-NVIDIA NPO customers are embedding the laser directly inside the optical engine rather than using an external source, which is where the mid-power (120mW and 150mW) laser opportunity comes in — an additional, incremental customer set beyond NVIDIA.

Competitive Positioning in Lower-Power Embedded Lasers: On competitive positioning in the lower-power (120–150mW) embedded laser segment, management acknowledged the timing is later than the ELS-based CPO and NPO opportunities, with shipments potentially happening in the first half of calendar 2028 and production ramping in the second half. Management said the company currently sees no direct competition in this segment, though highlighted that it remains early. Management argued that scaling a 400mW laser down to 120–150mW is structurally easier than scaling a lower-power (70–100mW) laser up to 120mW, given that reliability requirements at the higher end are comparable or more stringent. Management noted the company has not yet officially won a design in this embedded-engine category, though the shipment timing implies these programs are targeted at scale-up applications.

EML-to-CW Capacity Reallocation: On the EML-to-CW capacity reallocation, management confirmed the strategic rationale behind reallocating a portion of excess capacity out of its Japan fab (described as 10–20%) away from EML and toward CW lasers, despite EML carrying the higher margin profile and the company remaining supply-constrained on EML. Management pointed to two drivers: 1) a meaningfully improved CW margin profile following a die-size redesign and retooling effort that narrowed the gap versus EML; and 2) an expectation that the CW opportunity grows larger in magnitude through 2027 as the majority of transceivers shift toward silicon photonics. Management reiterated that the company remains significantly supply-constrained on EML and that the reallocation reflected a strategic capture of incremental CW revenue rather than any change in EML demand outlook.

Catalyst Watch on Lumentum Holdings Inc (LITE.O)

Direction:	Upside
Duration:	Within 90 Days (expires 14 Oct 2026), expected event date 11 Aug 2026
Date Added:	16 Jul 2026
Catalyst:	Earnings

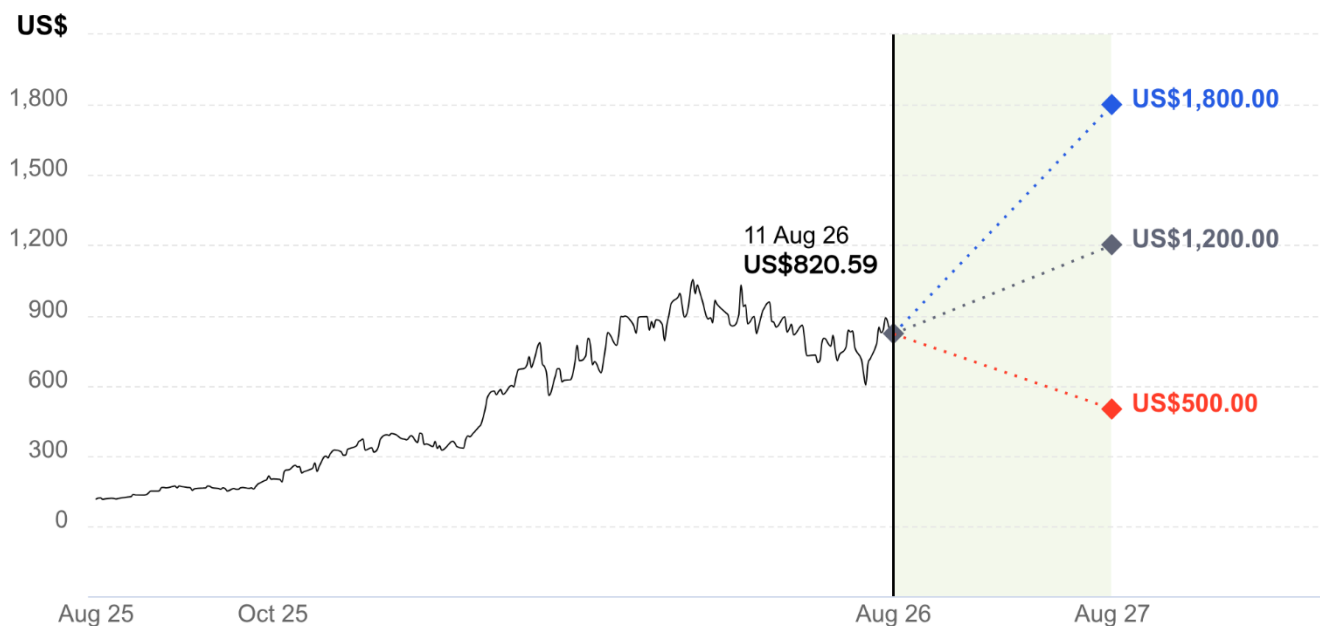
We are opening a 90-day upside Catalyst Watch on LITE ahead of its Jun-Q earnings report and the European Conference and Exhibition on Optical Communication - ECOC 2026 (September 20-24) as we expect the company to address its favorable pricing dynamics, intact NPO/CPO roadmap as well as its technology leadership throughout the two events.

Bull/Bear: Lumentum Holdings Inc (LITE.O)

US\$ **1,800.00**
▲ 119% Upside

US\$ **1,200.00**
▲ 46% Upside

US\$ **500.00**
▼ 39% Downside



BULL Assumptions

- Sustained AI sales drives sales and EPS faster-than-previously expected.
- Faster-than-expected ESP growth amid new management's effort to drive margins.
- 40x PE with \$50 FY2028 EPS discounted back.

BASE Assumptions

- Halo effect on AI helps expand multiple.
- Strong execution by new management to drive margins and EPS expansion.

BEAR Assumptions

- Inability to achieve margin targets drives EPS lower.
- Frontloaded AI demand.
- 30x PE with ~\$17 FY2028E EPS discounted back.

Lumentum Holdings Inc

Company description

Lumentum Holdings Inc. is a leader in optical and photonic market which delivers essential products to various end-markets including cloud, AI/ML, consumer, and industrial. LITE specifically focuses in two end-market focused reportable segments, Cloud & Networking and Industrial Tech.

Investment strategy

We are Buy-rated on LITE. We believe that the stock's multiple will benefit from the AI appeal while its fundamentals should expand on new management's strong execution and focus on profitability.

Valuation

Our 35x P/E multiple is a ~10% premium vs the average of AI optics peers' valuation. We model LITE to grow its EPS between 2025-2028E 2-3x faster. Therefore, on an earnings growth adjusted basis, we think a higher P/E multiple vs peers is justified. Our TP on LITE is \$1200.

Risks

Downside risks to the achievement of our target price include: 1) increased competition on AI leads to limited market share growth and limited revenue upside, 2) Frontloaded or slower-than-expected AI ramp affecting EML ramp, and 3) Slower than expected adoption of LITE CPO and OCS new products.

Upside risks to the achievement of our target price include: 1) gaining share in AI market through new products on the AI transceivers, CPO and OCS fronts 2) quicker and stronger adoption of AI workloads, and 3) faster-than-expected margin expansion.

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Appendix A-1

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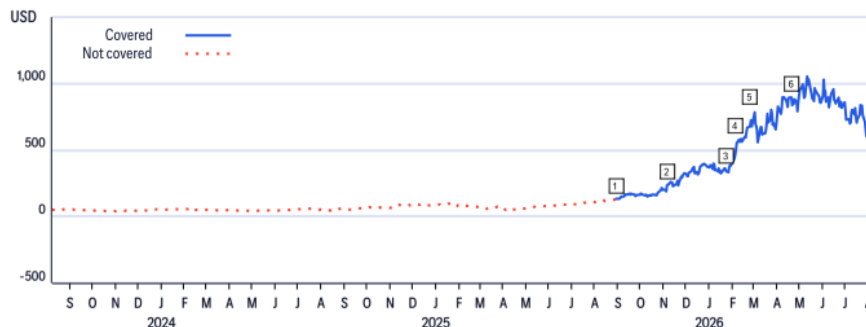
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IMPORTANT DISCLOSURES

Lumentum Holdings Inc (LITE)

Ratings and Target Price History Fundamental Research

Analyst: Papa Sylla



Date	Rating	Target Price	Closing Price
1 29-Aug-25 07:09:17	*1	*165.00	132.81
2 05-Nov-25 07:17:32	1	*240.00	232.75

*Indicates Change

Date	Rating	Target Price	Closing Price
3 22-Jan-26 16:00:38	1	*450.00	354.49
4 04-Feb-26 06:53:24	1	*560.00	465.54

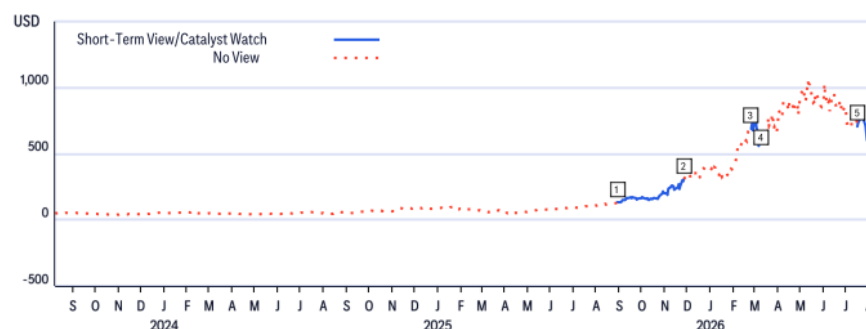
Date	Rating	Target Price	Closing Price
5 24-Feb-26 19:04:05	1	*800.00	688.27
6 20-Apr-26 22:36:14	1	*1,100.00	895.11

Rating/target price changes above reflect Eastern Time

Lumentum Holdings Inc (LITE)

Short-Term View/Catalyst Watch Research

Analyst: Papa Sylla



Date	Action	Expected Direction	Duration	Closing Price
1 29-Aug-25 03:09:17	Add STV	Upside	90 Days	132.81
2 27-Nov-25 11:04:00	Remove STV	Upside	90 Days	308.28

CW - Catalyst Watch, STV - Short-Term View

Date	Action	Expected Direction	Duration	Closing Price
3 24-Feb-26 14:04:05	Add CW	Upside	30 Days	688.27
4 09-Mar-26 16:14:36	Remove CW	Upside	30 Days	640.69

Date	Action	Expected Direction	Duration	Closing Price
5 16-Jul-26 01:00:00	Add CW	Upside	90 Days	706.23

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

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